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INCOMING TELEGRAM **Department of State**

TELEGRAPH BRANCH

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Control: 5905
Rec'd: July 14, 1950
12:56 p.m.

FROM: London

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TO: Secretary of State

NO: 291, July 14, Noon

PRIORITY

EYES ONLY FOR THE SECRETARY FROM DOUGLAS.

For the purpose of following up my meeting with Bevin July 11 and of having a survey of the international situation in general and the position in Far East in particular, I arranged a lunch with Younger, Strang, Dening and Holmes. The following major lines of thought clearly emerged.

(1) Bevin was very much surprised at the vigor of your response to his message and was hurt if not offended by the seriousness with which you view the implications of his message and their possible effect on the future relationship between the two countries. Strang inquired when your message had been written, whether before or after the amplifications of the instructions to Kelley had been received by you. I told him that I could not say when your message had been written but that I suspected that you were directing your message at Mr. Bevin's request for a candid exchange of views in regard to the situation in the Orient and especially the question which Mr. Bevin had put in regard to what would be the attitude of the US should the Russians agree to help in restoring the status quo in Korea in return for US readiness to be considered their present declared attitude in regard to Formosa.

Strang then asked whether we had thought that Bevin's inquiry implied a disposition on the part of Bevin and His Majesty's Government to accept such a trade. I told him that I could not say what the view in Washington had been but that when I read it, quite candidly, I thought the whole tenor of the note and the precise language justified the inference that His Majesty's Government was at least flirting with the idea of an agreement of that sort.

I said that it was because we interpreted the message to carry such an implication that I suspected you had replied so vigorously and so clearly and that personally it seemed to me that only good could come out of a very frank and candid expression of views which Mr. Bevin himself had specifically

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and we were assured quite sincerely, invited.

Strang gave me to understand that Mr. Bevin had no disposition to advocate an agreement along the lines implied in his message or to view such an agreement as something which was good. Mr. Bevin, Strang said (both Younger and Dening echoed this view) put forward his question based on a hypothetical state of affairs purely for the purpose of exploring with us in advance the situation as it might in the future develop.

(2) Notwithstanding the disavowals of any predilections or intentions in regard to a settlement of the Korean affair, the subsequent conversation made it very clear that all British present were extremely worried and anxious, if in fact they did not lean strongly toward an arrangement, if not identical with, at least similar to, the possible settlement which Bevin referred to in his message.

The unified world opinion and particularly the unity of thought and support among the free Asiatic nations of which the significant leader is India which we now enjoy because of our prompt action in Korea and determination to resist aggression, is essential to the Western world. While Korea was the binding and cementing influence, the action in regard to Formosa was disturbing and was viewed with grave alarm by the entire Oriental free world.

Viewed through Asiatic eyes, Formosa belongs to China, quite irrespective of what sort of government China may or may not have. Under the pronouncement of Cairo, confirmed by the terms of the Potsdam Declaration, Formosa is legitimately part of the area over which the Chinese Government, howsoever composed and of whatsoever political complexion should lawfully exercise jurisdiction. Asiatic powers had recognized the Chinese People's Democratic Republic. This was in their view the established and lawful Government of China. Any efforts undertaken by this lawful government to exercise its sovereignty over an area, in this case Formosa to which it was legitimately entitled, would not be an act of aggression but merely a normal, natural and legal measure. They could not therefore understand why the US should intervene by stationing its fleet in a certain position to prevent a lawfully established and recognized government from performing its normal functions over the Island of Formosa and its inhabitants.

Nor do they recognize that a settlement which contemplated withdrawal of North Korean forces to the 38th parallel (the status quo thereby being restored) in return for the seating of the Chinese Commies in the Security Council and in the UN generally, the recognition of the Chinese regime

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and the inclusion of the Island of Formosa within the territory of the People's Republic to be an extorted blackmail price. The free Asiatic nations, of which Indi is the principal spokesman, believe these three steps should have been taken long ago. Were they to be taken now at the same time the Korean affair were resolved, it would be purely a matter of accident and coincidence and not extortion.

Moreover, the position of the US Government as expressed in the President's statement of June 27 constitutes a great change from the statement of January 5. The free Asiatic peoples and those who constitute their governments believe this change to have been induced by purely strategic considerations on the part of the US and by the dislike which the US has for the Chinese People's Republic combined with the desire to maintain another outpost of the Western world from which the Orient could be dominated by the West.

(4) His Majesty's Government is strongly of the view that the Soviet would like nothing better than to have China and the US become entangled in armed conflict. This would punctuate and reinforce the Soviets blaring propaganda that the US and the Western world were anti-Asiatic and opposed to the yellow man and his independence and is intent upon a design of distant if not close imperialistic control. An armed conflict between China and the US, His Majesty's Government felt, would promptly and for an interminable period throw the whole of Asia into the USSR camp.

(5) I replied that these views which had been tentatively and personally advanced tended to confirm the urgency of the US and UK finding some common platform in regard to Formosa and China from which we could attempt to persuade the Asiatic peoples and especially India of the rectitude of our position and to dissuade them from some of their deep-seated misunderstandings.

Merely because the British had recognized the People's Chinese Republic and the US had not was no reason, it seemed to me, for us necessarily to diverge in regard to Formosa. The international situation which we had forecast at Cairo and Potsdam and the cooperation of the Soviet in establishing peace which we had then expected and on which we rested so many of the arrangements including the statement about Formosa had not materialized. Quite a contrary international climate existed produced by a whole series of violations or commitments by the USSR in the Far East and elsewhere. Moreover,

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it was clear that the Soviets were using Communism as an instrument of expansion and of imperialism of the most violent and ruthless sort. May want confusion and disorder not peace.

Even though declarations in regard to the intention of the US and the UK toward the return of Formosa to China had been made at Cairo and even though these declarations of intentions had been confirmed by the Potsdam pronouncements with which the USSR was associated, the fact was that the title to Formosa had not passed to China. I myself seriously doubted the legal authority of two or three powers to convey title for Formosa to China and that actually China could not be vested with the title to Formosa except by the terms of an international agreement or peace settlement with Japan or alternatively in accordance with and pursuant to a lawfully made decision of the UN.

The US was not seeking any territorial position in the Orient. We had no ambition to extablish a Western outpost from which the yellow man could be dominated. We were trying to preserve the present international status of Formosa in order that in a peceful international environment unmenaced by wars or threats of wars, undisturbed by acts of coercion, uninfluenced by duress, the disposition of Formosa could be wisely and dispassionately determined by one of the only two methods that were lawful and valid.

An extension of the area of warfare we felt would seriously jeopardize the achievement of this objective and might precipitate us into a world war. With this purpose solely in mind, we had ordered the Seventh Fleet to take its position to prevent an act of aggression by the Chinese Commies against the Island of Formosa on which there was established from our point of view, the only Chinese Government we recognized. In addition we had used our good influences and persuasions so far successfully to terminate the Chinese Nationalist air attacks upon the mainland and other interferences with the mainland.

(6) The British replied that this statement of the case had never been made to them. They had looked favorably upon the President's statement of January 5. The statement of June 27 was quite a different one. It did not make any reference to the legal position of Formosa. It, so the British viewed the matter, placed our case squarely on the grounds of the strategic significance of the Island. This was the motive too that most of the Asiatic world, the British thought,

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believed was behind our action. The British did not know what sort of a reply would be made to your message. They were now considering the matter from all these various angles and from all points of vantage. It was possible, they thought, that we could arrive at a common platform from which we could attempt to persuade the Asiatic countries, particularly India, of the propriety and the correctness of our position. This, however, was a purely personal view expressed on their part. The legal case they thought a good one.

They wondered, however, if there was time to go through the arduous process of persuading the Asiatic countries, and again, especially India. They wondered whether this suggestion did not really beg the question. Reinterpretation of their information lead them to suspect that the Chinese Communists were massing their forces, their air and amphibious equipment, their ground and armored troops for an attack upon Formosa. (This may reflect Indian influence). They thought that the invasion might be launched at almost anytime. Should it occur we would find the world divided with practically all of the Asiatic countries siding with the Chinese Communists and indeed some of the Western European countries.

(7) I cannot say that my statement of the legal position in regard to Formosa was even approximately correct but it is true that it has not been put to the public nor indeed has it been put to either the British Government or any Asiatic government. If there is a reasonable colour of validity to my statement of the case might it be wise to consider, but not necessarily to take any action until after Bevin's note has been received, an amplification by the President of his statement of June 27, this amplification to include an explanation of the legal position in regard to Formosa and an elaboration of our reasons for taking the action which we took including empahsis on cessation Nationalist operations against mainland. He might even give a solemn undertaking that when peace is restored and the North Koreans withdraw to the 38th parallel, et cetera et cetera, we would not attemtp to exert any undue influence in the negotiation of the final dispostion of Formosa either under the terms of a peace settlement with Japan or by the UN. Any statement, however, it seems to me on the subject elaborating what was necessarily the short statement of June 27 should make it clear that it implies no slackening of our efforts in Korea and no compromise of our fundamental reasons for taking the measures re Formosa.

DOUGLAS

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